

and slackening demand. From a high of 9.3 per cent clocked during the first quarter of FY08, GDP has been steadily floating downwards since the second quarter when it touched 8.9 per cent and further to 8.4 per cent in the third quarter. This has been triggered by the overall slowdown in industrial production and services. IIP growth slowed to an average of 6 per cent during November 2007 to January 2008, from an average of 9.9 per cent during April-October 2007. "The moderation in growth, high inflation and the global credit squeeze have affected corporate sentiment, as is evident from the Optimism Index for Net Profits sliding to a 14-quarter low," says Kaushal Sampat, COO, Dun & Bradstreet India.

Like the consumer, it is now a double-whammy for producers too. They too are squeezed between rising input costs and a slow demand. Any increase in prices would exacerbate the demand slowdown. Says Kishore Biyani, chairman of Future Group: "Rising cost of funds is the biggest reason for slowdown. I believe cause and effect take a while to play out. In the given scenario, investment in big-ticket items will be postponed." Business is also hit by rising starting and running costs, thanks to high salaries and rentals, and the keeping up with the market expectations for profits. Says Amit Tandon, MD of Fitch Ratings: "Be it cost of commodities, land or people, the overall cost of doing business has substantially gone up in the last few years and this has put immense pressure on margins. The supply side bottlenecks are already affecting the growth of companies."

Over the past few years, Indian companies were able to grow because they did not lack in capital either from domestic institutions or foreign investors. A vibrant capital market saw a large number of them being listed in 2007. But as foreign capital started chasing Indian growth, an appreciating rupee began to hurt the real economy and the central bank was left with

no option but to cut the flow of credit from abroad. Last August, it stipulated that funds raised overseas would have to be parked there and couldn't be remitted to India. Clearly, this hit expansion plans as in the fourth quarter of FY07, commercial loans accounted for 40 per cent of the capital inflows. Says Shubhada Rao, chief economist, Yes Bank: "The policy dilemma is much stronger now as the central bank has to anchor inflation expectation and manage growth momentum to the extent possible."

While optimists in corporate India term this as a case of business cycle, there are uncertainties that prevent any optimism to settle. Given that this is a pre-election year, the Government is going out of its way to fight inflation, which may backfire on the industry in the long term. If all this points to one thing, it's the role of the central bank, which has to fight multiple battles all at once. It has to choose between indus-

try, inflation and rupee appreciation. In order to curtail the rupee from appreciating beyond the 12 per cent it did in 2007, it has to stop foreign currency inflows through the portfolio and ECI route. And if RBI chooses this route, it has to sacrifice domestic growth, which is why in its January review of the monetary policy, the RBI governor chose to do nothing because he had little elbow room. If it increases interest rates further, there will be defaults and corporate slowdown, and if it lowers rates, inflation will shoot up, thanks to higher liquidity. This situation is what economists call structural changes in the economy, wherein growth and inflation have to be managed simultaneously and any knee-jerk reaction will lead to undesirable results.

For three years, the UPA regime didn't fix the obvious need to institute supply chain management to curb wastage and manage prices. It also didn't work with the states to push for speedier creation of industrial capacity. The result is visible. It's clear that old-world prescriptions will not work in the new world order. Barring one: sensible politics dictates you to fix the wrongs when the times are good. ■

Construction

Down by: The sector is expected to slow down from a growth of 12 per cent clocked in the financial year 2006-07 to 9.60 per cent in 2007-08

Why? Due to spiralling costs of land, cement and steel, demand for houses has dipped

Impact: A price correction could lead to take-over of smaller players

"Multiple causes, from high interest rates to the US economy crisis, are holding back potential buyers."

ABHISHEK LODHA, DIRECTOR, LODHA GROUP

"The Government made a wrong choice in the growth-inflation tradeoff. Anti-inflation measures have failed and hurt growth."

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